- A risk taking factor which is responsible for an end result
- Usually understood with reference to individual business
- Name given to the factor of production which performs the functions of an enterprise
- Creates awareness among people about economic activity
- Generates self-employment and additional employment.

13.4 Project

Project is the foundation for any company. It is a technical document which approves the activities of a company. It indicates the unit product intermediate or end products to be sold in the market. It has to be planned carefully based on the market fore cast. It helps an entrepreneur to apply for loan.

- Project is defined as a non-routine, non-repetitive, one-off undertaking normally with discrete time, financial and technical performance goals –**Harrison.**
- A project is a scientifically evolved work plan devised to achieve a specific objective within a specified period of time. The project may differ in size, nature, objectives and complexity.
- A project is an approval for a capital investment to develop facilities to provide goods and services defines **World Bank**.
- Projects are classified as quantifiable and non-quantifiable projects, sectoral projects, techno-economic projects and financial projects.

13.4.1 Project Life Cycle

The project life cycle consists of three main stages as shown below :

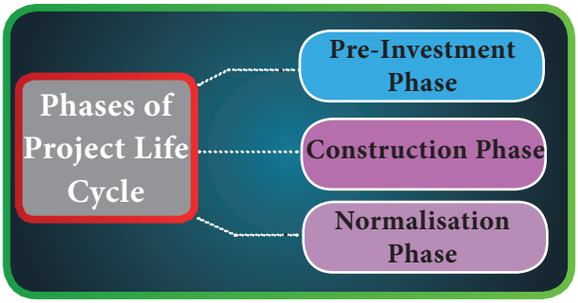


Figure 13.2 Project Life Cycle

- **The Pre-Investment Phase**

  The first phase of the project is pre-investment. It is concerned with objective formulation, demand forecasting, selection of optimal strategy, evaluation of input characteristics, projections of the financial profile, cost benefit analysis and pre investment appraisal. The project idea is developed into an investment proposition during this phase.

- **The Construction Phase**

  The construction phase begins after the investment decision is done. The assets like land, buildings, machinery, communication services, control systems etc. are purchased by investing the resources. The development of the infrastructure for the project is the main concern in this phase.

- **Normalisation Phase**

  Normalisation Phase starts after the trial is made during the construction phase. The primary objective of this phase is to produce the goods and services for which the project was established. The assets created during the construction phase are utilised during the normalisation phase.

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